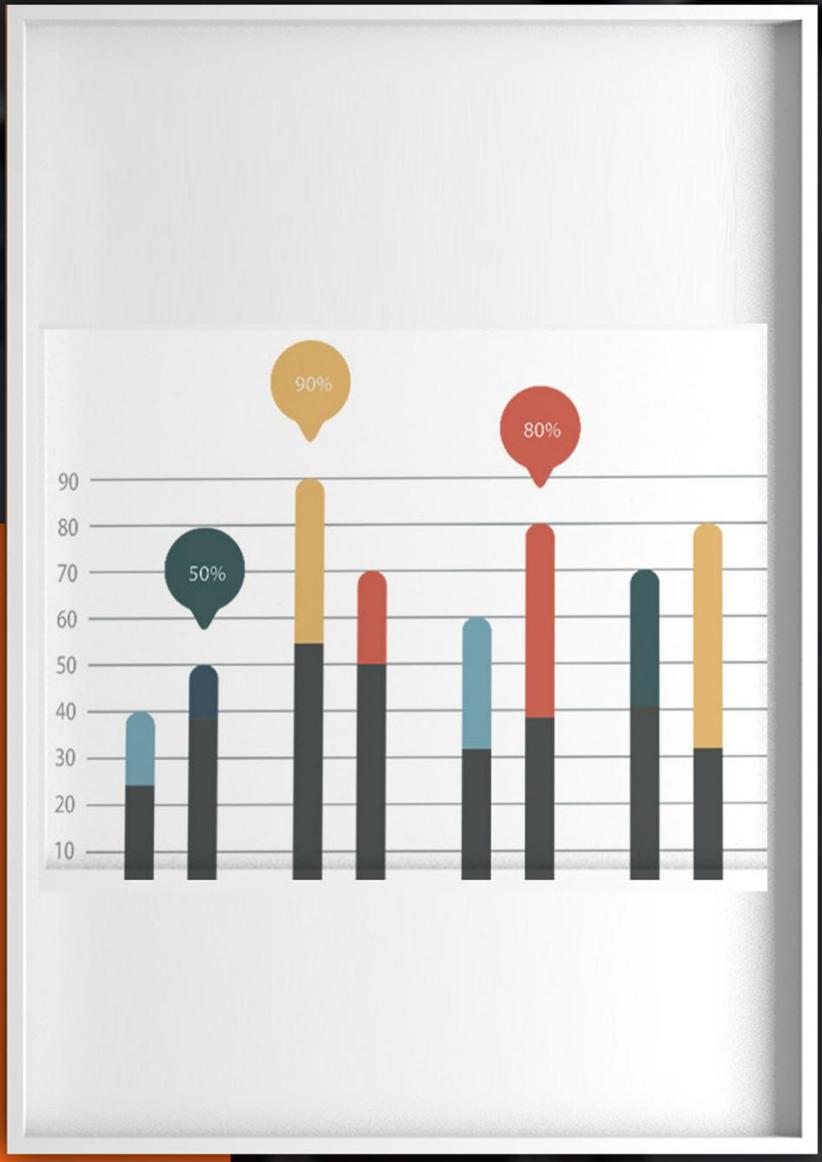
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AIB-AXYS Africa Primary Bond Auction Note

AIB-AXYS July 2025 Primary Bond Auction Note

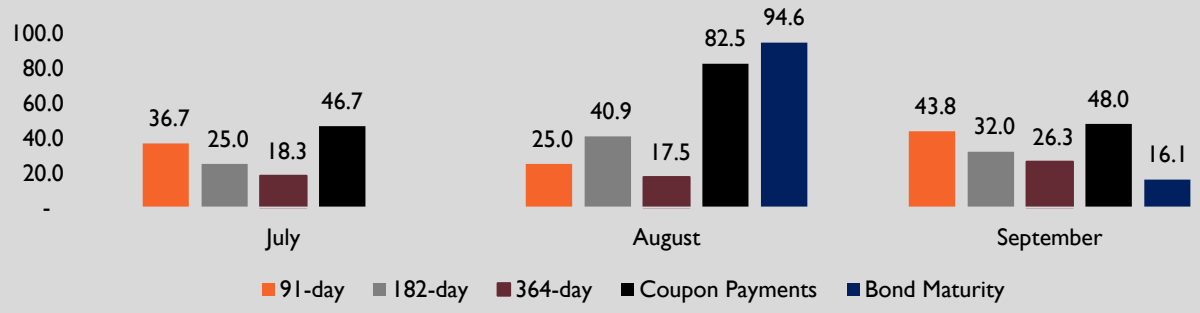
Summary – "Rising expenditure, Falling Revenues"

- **The Exchequer is seeking to raise KES 50.00Bn through the re-opening of the FXD1/2018/020 & FXD1/2018/025** treasury bonds earmarked for budgetary support in FY25/26.
- **In the FY 2025/26 budget, the government plans to increase total expenditure by 7.1% y/y to KES 4.292Tn.** This spending surge comes despite persistent revenue shortfalls, setting the stage for a wider fiscal deficit. While the Finance Bill 2025 introduces new tax measures, they are projected to raise only KES 24Bn—marginal compared to the nearly KES 300Bn rise in spending. In response to underwhelming revenue performance, the domestic borrowing target has been revised upward to KES 635.5Bn, a figure we expect could climb further given the historical trend of tax underperformance. Coupled with significant bond maturities due in August, push-pull dynamics are likely to persist between investors and the exchequer in the upcoming auction, with investors expected to leverage the government's heightened funding needs to demand higher yields.
- **The weighted average tenor to maturity of the Fixed Income Bond (FXD) series stands at c. 7.47 years.** Further, the government has approximately **KES 126.70Bn** worth of treasury bill redemptions, coupon repayments, and bond maturities due in July 2025.

Table 1: Key Auction Highlights

FXD1/2018/020 & FXD1/2018/025	
Issuer:	Republic of Kenya
Total Amount:	KES 50 billion
Purpose:	Budgetary Support FY25/26
Tenor:	**FXD1/2018/020**- (12.8 Years) – Re-opened **FXD1/2018/025**- (18.0 Years) – Re-opened
Coupon Rate:	**FXD1/2018/020** – 13.2000% **FXD1/2018/025** – 13.4000%
Price Quote:	Discounted/Premium/Par
Period of sale:	24-June-2025 to 9-July-2025
Minimum Amount:	KES 50,000.00
Taxation:	10.00% Withholding Tax
Maturity Dates:	**FXD1/2018/020** – 1-March-2038 **FXD1/2018/025**- 25-May-2043
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2018/020**– 13.67%-13.87% **FXD1/2018/025**– 14.14%-14.34%

Chart 1: Governmnent Obligations Q3 2025 (KES Bn)



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

Downward momentum on the yield curve persisted in June, supported by the recent 25bps interest rate cut implemented by the CBK. Shorter-term tenors recorded the most significant declines, with an average YTD decline of 166.79bps. We believe these declines were more pronounced on the short end of the yield curve due to reduced borrowing by the exchequer, which continues to prioritize lengthening its maturity profile while minimizing short-term borrowing. Declines were also observed across the mid and long ends of the curve, with average YTD decreases of 159.45bps and 148.89bps, respectively. However, the pace of yield declines has started to moderate, as increased government borrowing is creating opportunities for investors to place aggressive bids in primary bond auctions. We expect this trend to persist over the medium term, with the government likely to continue relying on domestic debt markets to bridge its fiscal deficit, given the continued underperformance of tax revenue targets.

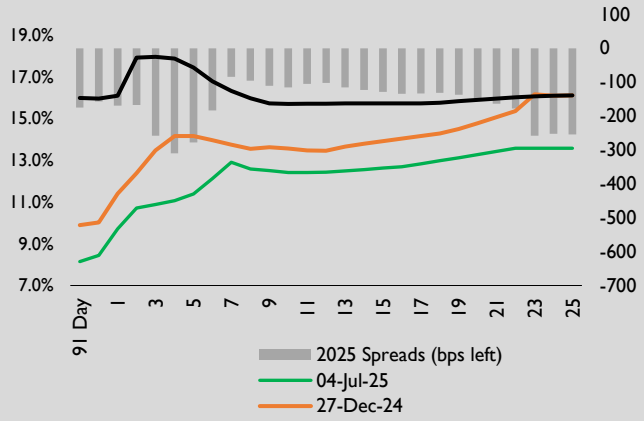
Market Liquidity

Interbank lending activity expanded by 63.17% m/m in June, reversing the downward trend seen in previous months. However, the average interbank lending rate declined by 14bps to 9.72%, largely reflecting the recent 25bps interest rate cut by the CBK, whose effects are still reverberating across the market. In addition, the lingering impact of the 100bps reduction in the Cash Reserve Ratio (CRR) continues to support liquidity in the banking system. Nonetheless, we believe the benefits of this increased liquidity are starting to taper off, as much of it has already been directed toward investments in new government debt issuances, given their attractive and relatively safe returns. Looking ahead, we expect interbank lending activity to continue rising, though at a more gradual pace. Meanwhile, we anticipate that the interbank lending rate will likely remain stable, hovering around the 9.75% level.

Price Levels

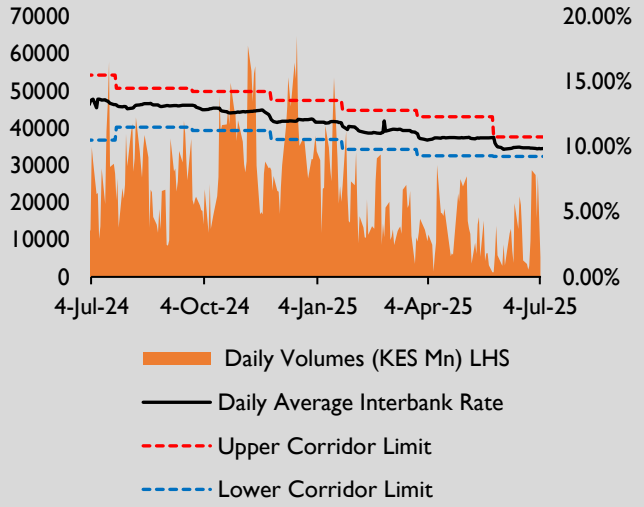
According to the latest data from the Kenya National Bureau of Statistics, the annual headline inflation rate, as measured by the Consumer Price Index (CPI), held steady at 3.8% in June, the same level recorded in May. This marks an improvement compared to the 4.6% inflation rate observed in June 2024. Core inflation edged up by 20bps to 3.0% from 2.8% in May. Meanwhile, food inflation increased by 30bps to 6.6% from 6.3%, and fuel inflation rose by 90bps to 3.2%. Looking ahead, we expect inflation to continue to remain contained within the CBK's target range, supported by a stable exchange rate, a strong foreign reserve position, and favorable weather conditions.

Chart 2: Domestic Yield Curve Evolution



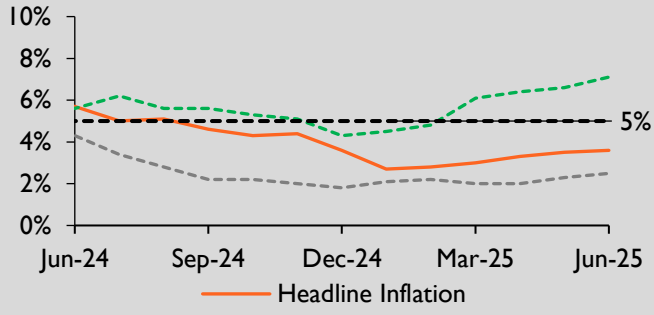
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels



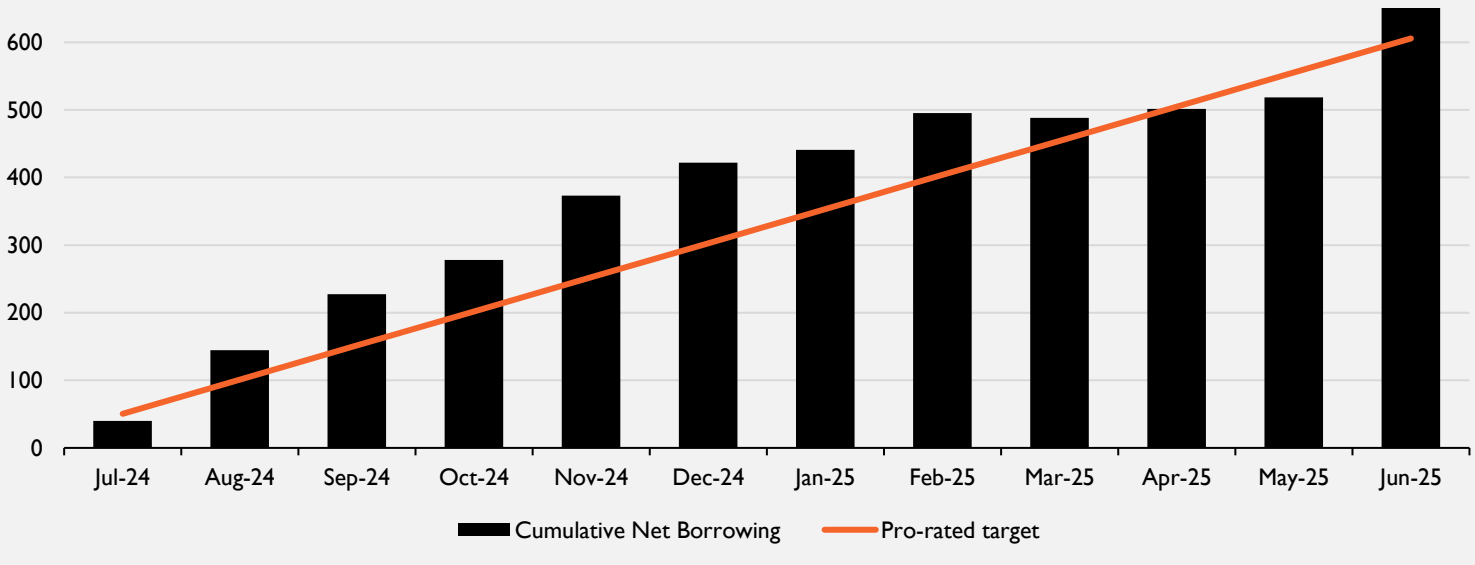
Source: Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2018/020- (12.8 Years)					
FXD1/2022/015	6-Apr-37	11.9	129,190.48	13.9420%	12.4150%
FXD1/2018/020	**1-Mar-38**	**12.8**	**115,257.30**	**13.2000%**	**12.5000%**
FXD2/2018/020	5-Jul-38	13.1	89,198.60	13.2000%	12.4970%
Comparable Yields for the FXD1/2018/025- (18.0 Years)					
FXD1/2021/020	22-Jul-41	16.1	75,984.00	13.4440%	12.7000%
FXD1/2018/025	**25-May-43**	**18.0**	**129,574.92**	**13.4000%**	**12.9690%**
FXD1/2021/025	9-Apr-46	20.8	90,490.00	13.9240%	13.4008%

Source: CBK, AIB-AXYS Africa Research

Cumulative Net Domestic Borrowing vs FY/24/25 Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Jul-24	20,000	FXD1/2023/002 - Tap Sale	1.2	**2.4%**	16.972%			
	30,000	FXD1/2024/010 - Re-opened	9.7		16.000%	16.636%	16.592%	166
		FXD1/2008/020- Re-opened	3.9	**48.9%**	13.750%	18.475%	18.290%	53
Aug-24	50,000	IFB1/2023/6.5 - Re-opened	5.8		17.933%	18.469%	18.299%	76.58
		IFB1/2023/17 - Re-opened	15.7	**252.6%**	14.399%	18.158%	17.728%	32.39
Sep-24	15,000	IFB1/2023/17 -Tap Sale	15.7	**234.6%**	14.399%			
	30,000	FXD1/2024/010 - Re-opened	9.5		16.000%	16.972%	16.870%	17.82
		FXD1/2016/020 - Re-opened	12.0	**75.5%**	14.000%	17.349%	17.285%	175.8
Oct-24	30,000	FXD1/2016/010 Re-opened	1.8		15.039%	17.064%	16.984%	14
		FXD1/2022/010 Re-opened	7.6	**169.9%**	13.490%	17.340%	16.952%	1
	15,000	FXD1/2022/010 Tap sale	7.6	**110.0%**	13.490%			
Nov-24	25,000	FXD1/2023/010 Re-opened	8.3		14.151%	16.150%	15.972%	-17
		FXD1/2022/015 Re-opened	12.5	**132.2%**	13.942%	16.385%	16.299%	-21
	20,000	FXD1/2024/010 Re-opened	9.4	**277.9%**	16.000%	16.113%	15.855%	25
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Average*	**37,000**		**11.7**	**184.9%**	**14.163%**	**15.496%**	**15.366%**	**69.819**

*Source: CBK, AIB-AXYS Research, * - Yearly average results excludes tap sales*

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